Q3 2026 Databricks: Reading the $188 Billion Term Sheet

A signed term sheet 40% above the last completed valuation, and the accelerating business underneath it

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CHART: The least expensive of its peers per unit of quality, at either price

Valuation per quality point across the frontier cohort, with Databricks shown at both its completed $134 billion valuation and the announced $188 billion term sheet.

Databricks signs at $188 billion, and the quality math survives the higher price

Databricks signed a Coatue-led term sheet at a $188 billion valuation on July 17, 40% above the round it completed in February, with the close expected later this summer. The business underneath the new price is still accelerating, at $6.9 billion in annualized revenue. Even at the higher figure, the company remains the least expensive of its peers relative to business quality.

Report picks

Databricks: Brick by Brick (July 2026 initiation)
Databricks Company Update: The Appraisal Moves (August 2026)

Key takeaways

- **On July 17, Databricks signed a term sheet at a $188 billion valuation, and the new price stands 40% above the $134 billion round it completed in February.**

Coatue is leading the investment, with new and existing investors participating, and press reports put the amount being raised near $3 billion.[1,3] Until the money changes hands, the February valuation remains the basis for our analysis.

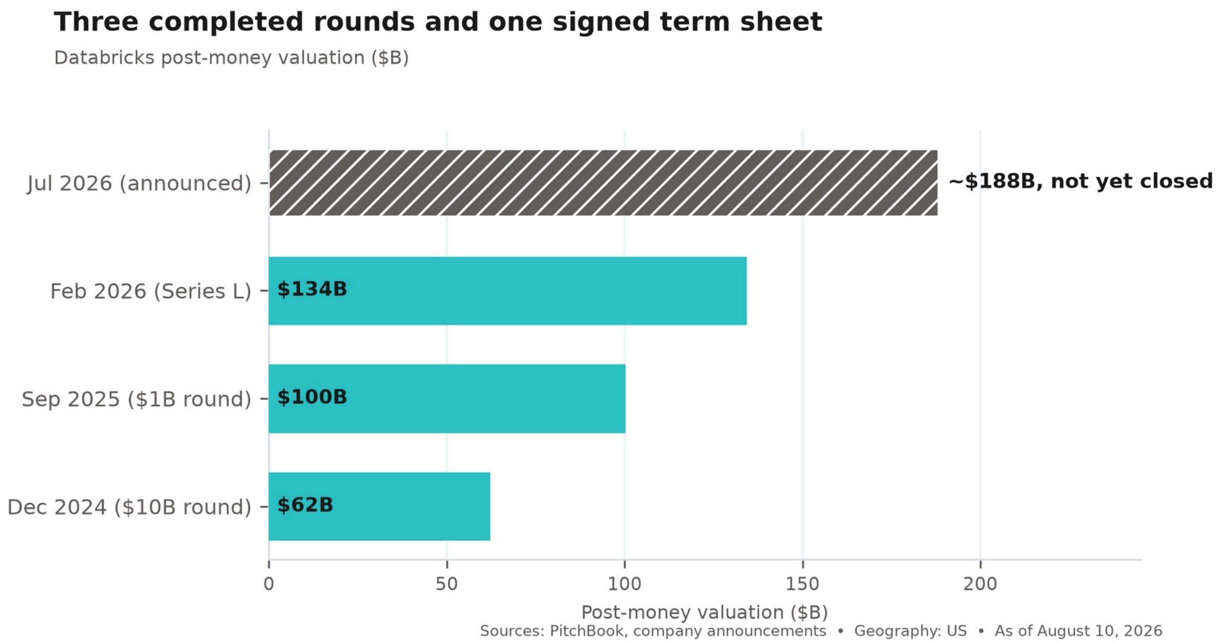
- **The same $6.9 billion in annualized revenue now supports two prices: 19.4 times revenue at the completed valuation and 27.2 times at the announced one.** Because no new financial results accompanied the announcement, the company's next disclosure, expected between September and October, will show what investors actually paid for.[7]
- **Revenue growth has climbed across four consecutive company updates, from +50% to +80% year over year, on annualized revenue that now reads $6.9 billion.** Gross margin is moving the other way: 74% today, down from above 80%, and guided lower. A fall below 70% would force us to rebuild the company's quality score regardless of the round.[7]
- **At either valuation, Databricks remains the least expensive company in its cohort relative to business quality: $15.2 billion per quality point at the completed valuation, roughly $21.3 billion at the announced one (est.).** Anthropic, the nearest peer, trades at about $118 billion per point. We assess a close by October 31 as very likely (80-95%). Confidence: moderate; the size and terms remain press-sourced.[3]

The term sheet: $188 billion, signed but not yet closed

The round spent June as a rumor and July as a fact. On July 17, Databricks signed a term sheet for a strategic financing at a $188 billion post-money valuation.[1] Coatue is leading, and new and existing investors are participating. The company has not said how much it is raising; press reports put the figure near $3 billion.[3] The money has not yet changed hands, either. Databricks expects the round to close later this summer, and PitchBook lists it as announced and in progress; it is the thirteenth venture round in the company's history.[2,5]

The price carries the first insight. February's completed round valued Databricks at $134 billion; the term sheet lands 40% above that figure, and $13 billion above the top of the $165 billion to $175 billion range that circulated in June.[6] Rumored rounds tend to shrink on contact with a term sheet, because talks leak at their most optimistic number. This one grew, and the growth is the clearest available signal of investor demand. Even so, the step looks restrained next to the rest of the cohort: over the same five months, Anthropic's valuation moved from $380 billion to $965 billion.[4]

The size of the raise carries the second. Where February's round brought in $7.0 billion, this one seeks roughly $3 billion, and the business behind both already funds itself from operations.[6] A company that raises a small amount at a 40% higher price is not covering a shortfall; it is putting a higher value on itself and adding reserves on its own schedule. The proceeds are pointed at the AI product line: Genie, Unity AI Gateway, and Lakebase.[1] None of this changes the basis for our analysis. Under our standing rule, a round that has not closed never sets the valuation we work from, so $134 billion remains the working figure until the money settles. Whether the higher price is deserved is a question for the operating results, and the results have an answer.



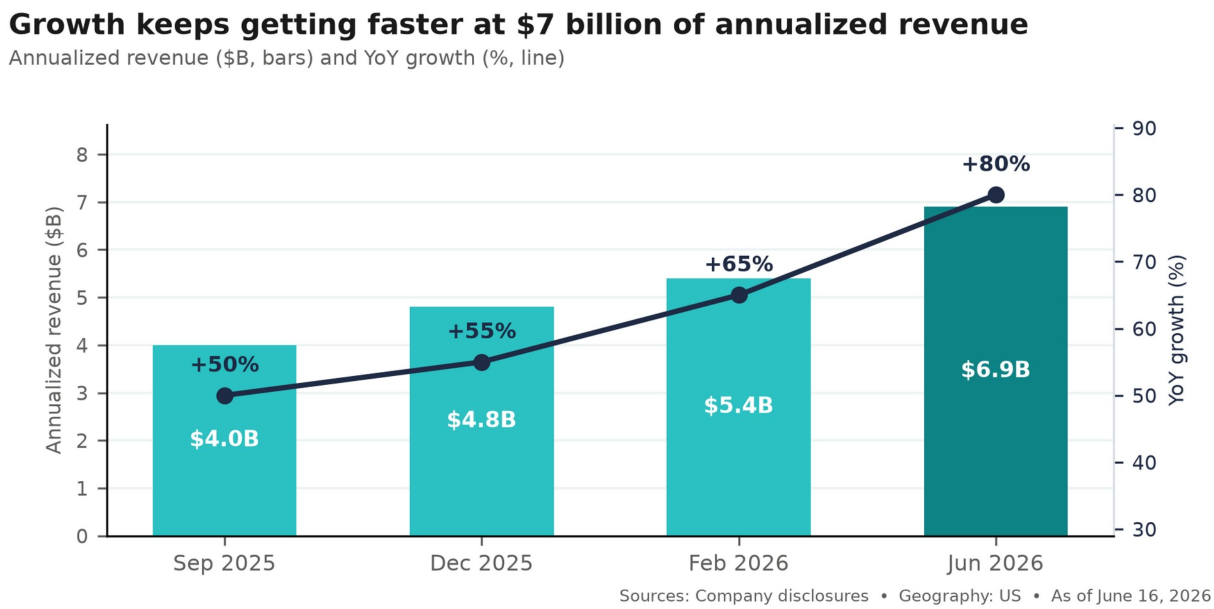
Post-money valuations, December 2024 to July 2026. Completed rounds solid; the July 17, 2026 term sheet hatched: announced at $188 billion, not yet closed, and excluded until funds settle.

The business under the new price: growth keeps getting faster

The answer is acceleration. Nothing in the operating results moved with the announcement; the new price applies to a business that has grown faster with every update. The latest disclosure put annualized revenue at $6.9 billion, up 80% year over year.[7] That made four consecutive updates with faster growth, and the progression tells the story plainly: $4.0 billion, $4.8 billion, $5.4 billion, and $6.9 billion across ten months. Software companies at this scale usually slow down. Databricks keeps speeding up.

Gross margin is the counterweight, and it is the number to watch. The margin stands at 74%, down from above 80%, and management expects further declines for a structural reason: AI agents run queries at machine speed, and the computing bill lands in cost of revenue.[7] That trade sits at the heart of the story because the company's fastest-growing revenue arrives with its own rising cost attached. The threshold that matters is 70%. Below it, our quality score for the company gets rebuilt regardless of what the round does. The cushion today is four percentage points.

The rest of the picture is solid but dated. At the February disclosure, free cash flow was positive on both trailing and fiscal-year bases, net revenue retention ran above 140%, and the platform served more than 20,000 organizations; each of those figures is now more than six months old.[6] Headcount stands at 9,000.[5] The next scheduled update falls between September and October, and until it arrives, the older numbers carry their dates. What can be priced today is the current part of the record: the growth, the margin, and the distance between the two valuations.



Annualized revenue (bars) and year-over-year growth (line), company disclosures September 2025 to June 2026. No new figures since June 16.

Pricing the quality: the least expensive of its peers at either price

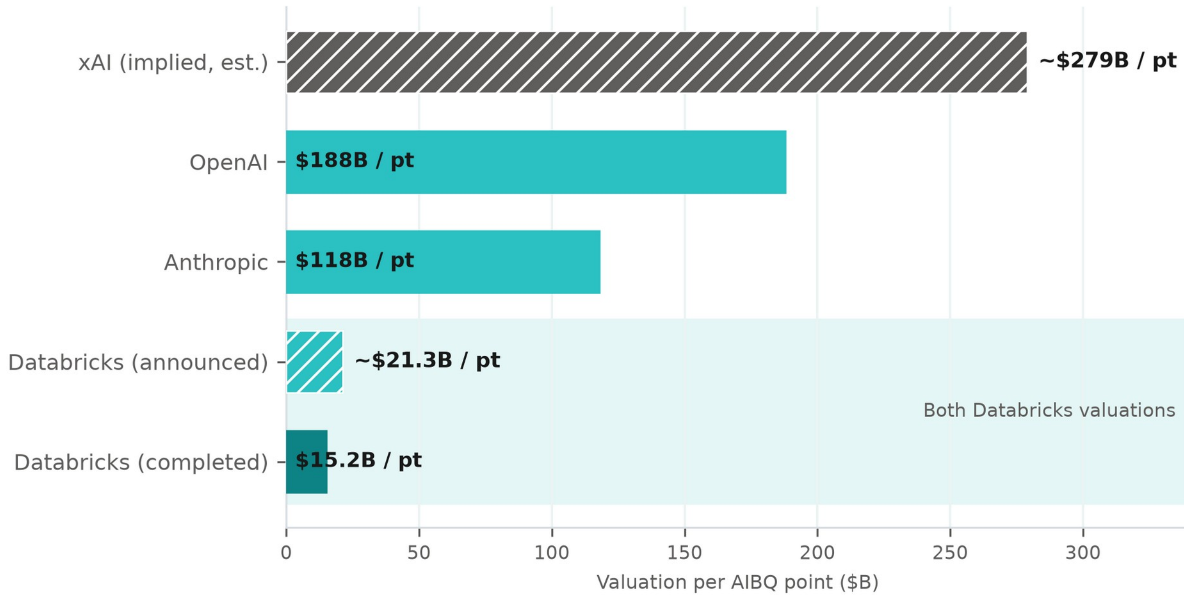
Putting a price on that record is straightforward because the announced valuation applies to the same June results. At $134 billion, Databricks is valued at 19.4 times annualized revenue; at $188 billion, 27.2 times. Adjusting for growth keeps both figures defensible. At 27.2x against 80% growth, each point of growth costs 0.34x, while Snowflake, the closest public comparison, trades at 15.3 times revenue against guided growth of 31%, or 0.49x per point.[9] Investors at the higher private price would still pay less per unit of growth than the public market pays for the slower business.

Our quality framework tells the same story from a different angle. At the completed valuation, the market pays $15.2 billion for each point of Databricks' business quality score; at the announced valuation, roughly $21.3 billion (est.). Anthropic trades at about $118 billion per point, OpenAI at close to $188 billion, and xAI, valued inside its listed parent SpaceX, at roughly $279 billion (est.). At either price, Databricks costs at least five times less per unit of quality than its nearest peer. That gap, not the round, is the durable fact in this note.

Two dates will decide the next quarter of this coverage. The first is the close: the company points to later this summer, and we assess completion by October 31 as very likely (80-95%). Confidence: moderate, because the size and terms rest on press reporting the company has not confirmed.[3] The second is the disclosure window: results expected between September and October will test annualized revenue against $6.9 billion, the margin against the 70% threshold, and February's customer metrics against fresh ones. The point at which we would change our call is already set. A gross margin below 70% at the next disclosure forces a rebuild of the quality score, round or no round. The IPO registry, meanwhile, stays quiet: no S-1 was on file at the last check.[8]

The least expensive of its peers per unit of quality, at either price

Valuation per AIBQ quality point ($B)



Sources: PitchBook, company disclosures, PitchBook analysis • Geography: US • As of August 10, 2026

Valuation per AIBQ quality point, August 10, 2026. Databricks shown at its completed and announced valuations; xAI implied inside its listed parent (est.); SSI excluded (pre-revenue).

Estimative language

Forward-looking judgments in this note use the desk lexicon below. Numbers in parentheses give the assessed probability range. Confidence is stated separately and describes the evidence base, not the event. 'Possible' is never modified; one odds-bearing word per sentence.

Probability bands

Term	Range
Almost no chance / remote	1-5%
Very unlikely / highly improbable	5-20%
Unlikely / improbable	20-45%
Roughly even chance	45-55%
Likely / probable	55-80%
Very likely / highly probable	80-95%
Almost certain / nearly certain	95-99%

Desk adoption of the ICD 203 estimative standard; judgments are logged with dates and resolution criteria for calibration.

References

1. Databricks signs term sheet at $188B, Coatue lead (Reuters syndication), July 17, 2026.
https://www.dealstreetasia.com/stories/coatue-led-funding-round-to-value-databricks-at-188b-489409/

2. Databricks hits $188B valuation (TechCrunch), July 17, 2026.
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3. Coatue-led $3B investment at $188B (WSJ, via Reuters/CNA), July 16-17, 2026.
https://www.channelnewsasia.com/business/databricks-valued-188-billion-after-coatue-led-investment-wsj-reports-6259931

4. PitchBook News: Databricks' 40% valuation bump looks 'almost quaint' next to Anthropic, July 17, 2026. https://my.pitchbook.com/news-center/pb208542455521588824

5. PitchBook company profile 59199-40 (last updated August 10, 2026) and financing note, August 7, 2026. https://my.pitchbook.com/profile/59199-40/company/profile

6. Databricks company announcement: Series L final close and operating metrics, February 9, 2026.

7. Databricks Data + AI Summit analyst-session disclosures ($6.9B run-rate, +80% YoY, 74% gross margin), June 16, 2026.

8. SEC EDGAR submissions API, CIK 0001587468 (no registration statement on file), verified July 10, 2026. https://data.sec.gov/submissions/CIK0001587468.json

9. Snowflake 8-K, Q1 FY2027 results and FY2027 product revenue guidance ($5.84B, +31%), May 27, 2026.